

The world in brief

Catch up quickly on the global stories that matter



Photograph: U.S. Central Command Public Affa

us **Central Command** said it struck targets on Qeshm Island in the Strait of Hormuz, while **Iran** fired missiles at Kuwait and Bahrain. An Iranian drone strike on Kuwait's airport also killed one person and injured more than 60. It is the first time that Bahrain has come under attack since America and Iran's [ceasefire](#) agreement. Donald Trump claims peace talks are still "going on".

Sir Keir Starmer, **Britain's** prime minister, appealed for calm after violent protests in Southampton. They followed the killing of a white student by a Sikh man, who was convicted of murder and jailed. What angered protesters was footage showing that police, responding to a false report that the victim had perpetrated a racist attack, handcuffed the dying man. [Nigel Farage](#), Reform UK's hard-right leader, had urged "pure cold rage" at the police's supposed "anti-white prejudice".

America's federal trade agency proposed introducing **new tariffs** on countries that it claims use forced labour. Levies of 10-12.5% would be imposed on goods from 60 economies, including Canada, China and several European trading partners. The Trump administration has been searching for pretexts to reimpose tariffs

since the Supreme Court ruled in February that “Liberation Day” levies introduced in 2025 [were illegal](#).

Partners Group, a Swiss **private-equity** firm, limited the amount that investors could remove from its flagship fund at 5% of its value in the second quarter of the year. It said that investors had tried to withdraw almost 10%—a sign, the firm suggested, that difficulties in [private credit](#) were now spreading to private equity. Shares in the company, which manages \$185bn in assets, subsequently fell by more than 15%.

Bezalel Smotrich, **Israel’s** hard-right finance minister, approved the construction of more than 2,000 houses for Jewish settlers in the West Bank. The settlements, considered illegal under international law, have expanded rapidly and settlers and Israeli soldiers [have killed scores](#) of Palestinians there. Meanwhile three people were killed by Israeli strikes in the Gaza strip despite a [fragile ceasefire](#).

Bolivia’s defence and education ministers both stepped down after weeks of protests against the country’s centrist government. Unrest, which began in May against [austerity measures](#), has paralysed the country and led to calls for President Rodrigo Paz’s resignation. He last week loosened the requirements for declaring a state of emergency, which would allow him to deploy troops against rioters.

Public transport, schools and hospitals were disrupted by a national strike in **Portugal**. Workers are protesting against a bill that proposes more than 100 changes to the country’s labour laws. It is the second general strike in six months. The legislation introduced by the centre-right government, which is likely to pass with the support of the hard-right, is aimed at boosting productivity.

Figure of the day: 82, the number of people who claimed last year to have travelled to all 193 countries. Find out [why travel is](#)

becoming a competitive sport.



Photograph: Getty Images

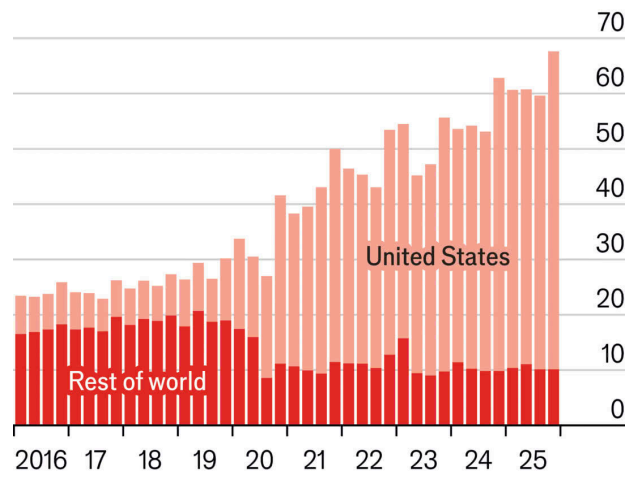
Techxit: Europe's push for digital sovereignty

In the digital technology race, Europe has long lagged behind. Most European consumers and firms are locked into using American digital giants' office software, online searches and (more recently) cloud services and artificial intelligence. But the EU is keen to regain ground. On Wednesday the European Commission will finally unveil its "Tech Sovereignty" proposals, which outline how it intends to make the bloc's chipmaking, cloud-computing and AI industries more competitive.

Arguments over the package mean it has already been pushed back several times. Policymakers are keen to reduce [Europe's reliance on American tech](#), either to protect sensitive data or to boost innovation. But doing so will be extremely expensive. And some worry that giving European companies preferential treatment will aggravate America's government, which has always regarded European regulation and taxation on American tech firms as unfair. It will not like what Brussels is proposing.

American dependence

Euro area, imports of intellectual-property services, €bn



Source: ECB



Photograph: EPA

The global economy looks remarkably resilient (for now)

Last year the global economy weathered the heightened uncertainty caused by a trade war and geopolitical tensions to grow by 3.4%, helped along by the boom in artificial intelligence. This year the war in the Gulf threatens to [supercharge inflation](#) and slow growth. Yet forecasters remain sanguine. Since America and Israel first attacked Iran, inflation forecasts have risen by less than one percentage point. Growth forecasts have been trimmed by less than half a point.

On Wednesday the OECD, a club of mostly rich countries, will release its biannual projections for what's next. It will likely nudge down its global growth forecast from the 2.9% predicted in March, while revising up its previous inflation forecast (4%). America's economy is expected to grow 2%; China's by more than double that. But much depends on how soon a deal is reached to open the Strait of Hormuz. Oil prices, though high, are not yet at crisis levels. But if the disruption persists, they might well become so.



Photograph: Reuters

Taking South Korea's political temperature

South Korea held local elections on Wednesday, one year since Lee Jae Myung was elected president. His approval rating remains decent; his liberal Democratic Party should fare well. The People Power Party, South Korea's conservative opposition, [is still reeling](#) from the ousting of Yoon Suk Yeol, the former president, after he declared martial law in 2024. Ballots are still being counted, but exit polls put DP ahead in key contests, including the mayoral races in Seoul and Busan—the two biggest cities—and parliamentary by-elections with candidates considered to be future presidential contenders.

The results point to how the political mood is changing. Recent polls suggest that South Koreans in their 40s and 50s remain staunchly liberal, but that younger voters, especially men, tilt conservative. They are fed up with the lack of progress in issues such as youth unemployment and housing. Young South Koreans tend to vote less, but with the turnout on the higher side, they may sway results this time.



Photograph: AP

Hopes for a grand climax to the NBA season

The 2025-26 season has not been great for North America's National Basketball Association. In October a coach and a player were accused of [running illegal poker games](#) and manipulating bets on matches using inside information. More recently, the NBA amended its rules to prevent teams from “tanking”—playing deliberately badly to improve their chances of recruiting the best players in next season's draft (lower-ranking teams get better odds).

But the finals, which begin on Wednesday, should give fans something to look forward to. The New York Knicks will battle the San Antonio Spurs in a best-of-seven series. The Knicks last made it this far in 1999; they have not been victorious overall since 1973. The big story for their opponents, meanwhile, is Victor Wembanyama, the Spurs' 7-foot-4-inch French superstar. He was sensational in their recent series against the Oklahoma City Thunder, the reigning NBA champions. Winning the championship at the age of 22 would set him on the path to all-time greatness.



Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: Which highly common animal group is believed to have descended from dinosaurs?

Tuesday: Casement, sash and bay are types of which architectural feature?

*Prejudice is more violent the
blinder it is.*

Elizabeth Blackwell